capital inflows in portfolio investments. HDFC too responded to these changes by exploring new avenues for business opportunities in the rapidly developing financial sector. The first of such new institutions, Countrywide Consumer Financial Services Limited, focusing on the consumer finance market commenced operations in February 1993. The second institution which at that time was in an advanced stage of development was HDFC Bank Ltd, which was destined to become the first private sector bank in India after RBI had thrown open the banking sector to private players on the recommendations of the Narasimham Committee.

When the RBI permitted private sector banks HDFC was the first to get a license. S.S. Marathe who was the Chairman of the committee set up by the RBI to consider the new bank applications later told Deepak that HDFC's application was the best. In fact Parekh was not keen that they should start the bank as he was worried that they did not have the expertise to run it. Deepak told him that they had too much exposure in one industry and in one product and needed income from other sources. HDFC Bank was incorporated in August 1994, and currently has a nationwide network of branches and ATMs. HDFC has a special arrangement with HDFC Bank, whereby HDFC Bank sources housing loans for HDFC. The home loans sourced by HDFC Bank are approved by HDFC which disburses such loans after carrying out the credit, legal, and technical appraisals. The loans sourced by HDFC Bank are booked in HDFC and HDFC Bank is paid a sourcing fee.

As Deepak observed in his very first Chairman's statement on taking over from his uncle, 'By thus creating a network of HDFC financial service institutions we are exporting essentially a style that reflects its carefully developed world view.'[37] According to Deepak, this worldview was based on three essential pillars: integrity, effectiveness, and service. It was all about 'putting people first' and summarized HDFC's approach to developing financial services in its broadest sense. Developing a coherent corporate culture, well communicated and understood throughout the organization is not an easy task. While competency can be acquired, culture needs to be ingrained. 'The nature and quality of service that we can deliver, in our view, has determined and will increasingly determine our reputation in the market place in the years to come… We are now in the process of redefining well understood standards of service in all areas